



THE BITCOIN MARKET CYCLE

Halving • Accumulation • Markup • Distribution • Bottom

A visual field guide to how Bitcoin moves through its repeating four-phase cycle - what drives each phase, the signals that mark tops and bottoms, and the indicators traders watch.

EDUCATIONAL REPORT | NOT FINANCIAL ADVICE

01 Overview & How to Read This Cycle

Bitcoin has no central bank and a fixed, mathematically enforced supply schedule. Because of that, its price history has tended to move in **repeating cycles** that are loosely anchored to the **halving** - the roughly four-year event that cuts the rate of new supply in half. While history never repeats exactly, the same four phases show up again and again, driven by the interaction of supply, liquidity, and crowd psychology.

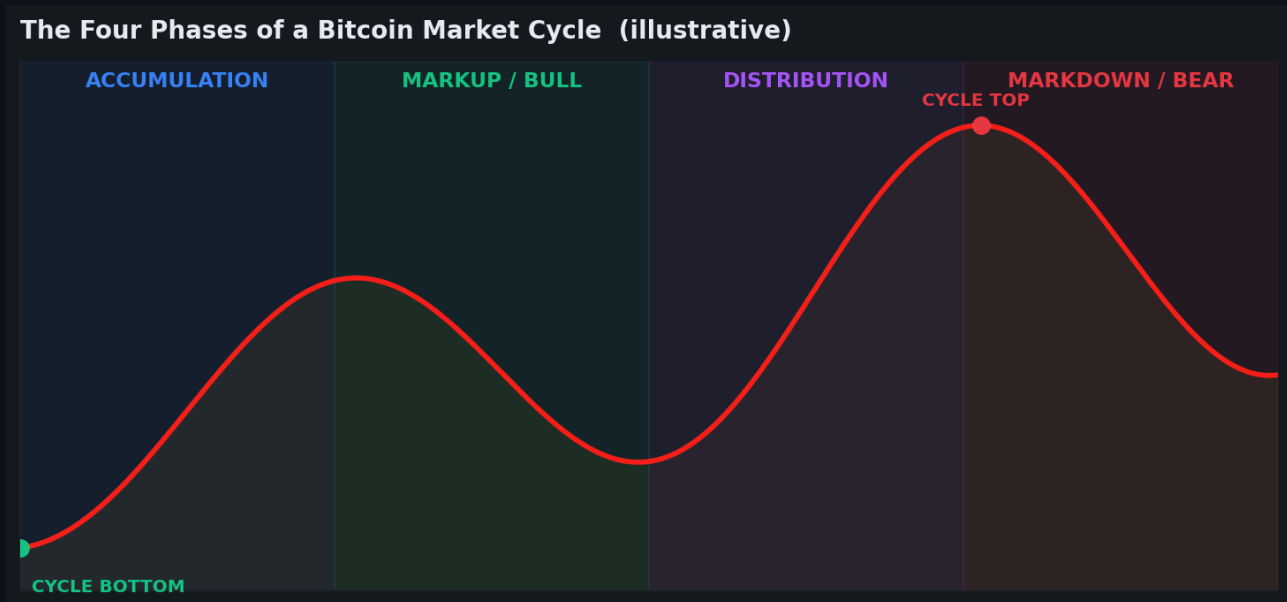


Figure 1 - The idealised cycle. Real cycles are noisier, but the sequence of phases is consistent.

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02

The Halving - Bitcoin's Supply Engine

Every 210,000 blocks (about every four years) the reward miners receive for adding a block is cut in half. This is the **halving**. It is the heartbeat of the entire cycle: it steadily reduces the flow of new coins until the supply caps out at **21 million BTC**.

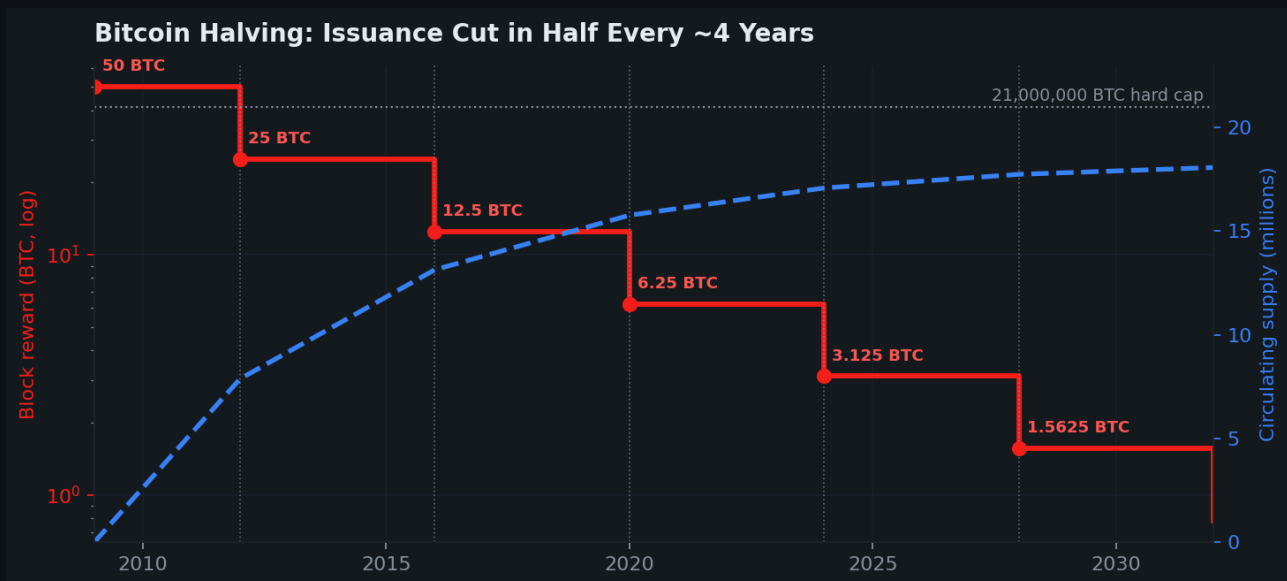


Figure 2 - Block reward halves at each event (left axis, log) while total supply asymptotes to 21M (right axis).

Event	Date	Block reward	New supply / yr
Genesis	Jan 2009	50 BTC	high
Halving 1	Nov 2012	25 BTC	lower
Halving 2	Jul 2016	12.5 BTC	lower
Halving 3	May 2020	6.25 BTC	lower
Halving 4	Apr 2024	3.125 BTC	lower
Halving 5 (est.)	~2028	1.5625 BTC	lowest

Why it matters

Supply shock

Demand that stays constant against a halved supply puts upward pressure on price. Historically the strongest gains have come in the 12-18 months *after* a halving, not on the day itself.

Priced-in debate

The halving date is known years in advance, so markets partly anticipate it. The effect tends to play out gradually as reduced issuance meets fresh demand.

Phase 1 - Accumulation (The Bottom)

After a long bear market, price stops falling and grinds sideways in a wide range. Volume is low, headlines are negative, and most retail traders have lost interest. This is where long-term holders and 'smart money' quietly build positions from exhausted sellers - the phase of **maximum opportunity** and minimum excitement.

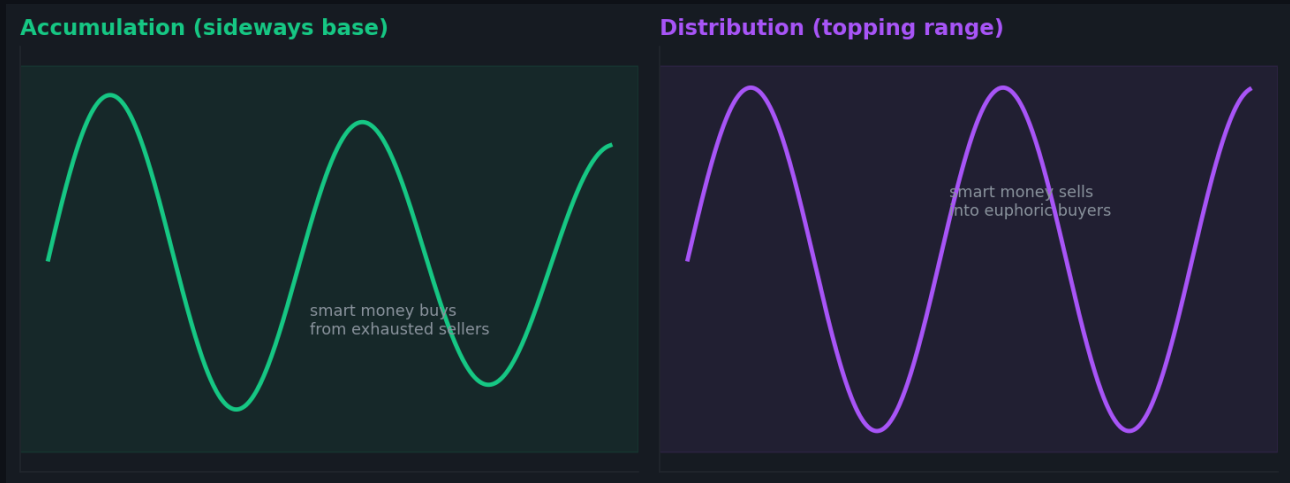


Figure 3 - Accumulation forms a sideways base after capitulation; distribution is its mirror image at the top.

Typical signs of accumulation

- Price ranges sideways for months with shrinking volatility.
- On-chain valuation metrics sit in the 'undervalued' zone (see p.7).
- Long-term holder supply rises; coins move to cold storage.
- Sentiment is apathetic or fearful - 'Bitcoin is dead' articles return.
- Each new low is bought more aggressively than the last.

Trader mindset

Accumulation rewards patience. The bottom is a process, not a single day - it is usually only obvious in hindsight. Dollar-cost averaging is the common approach here.

Phase 2 - Markup (The Bull Market)

Price breaks out of the accumulation range and begins a sustained uptrend. The halving's supply squeeze meets returning demand; momentum builds, media coverage turns positive, and new participants arrive. This is the longest 'feel-good' stretch of the cycle - but also where psychology starts to overheat.

Market Psychology Through One Cycle (Wall St. Cheat Sheet)

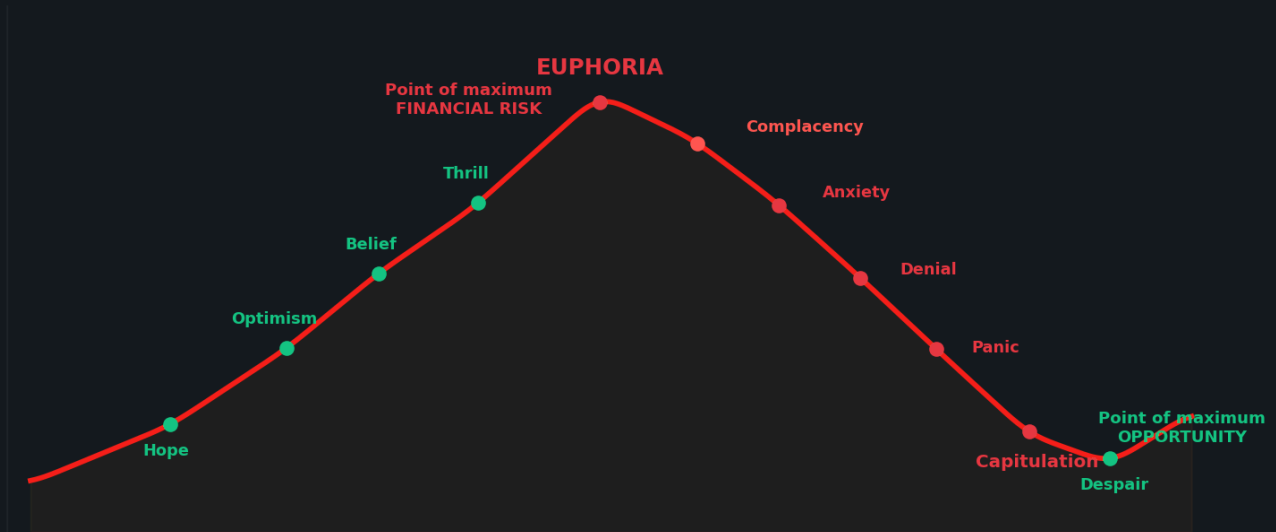


Figure 4 - The emotional arc of a cycle. Markup runs from Hope to Thrill; the top forms at Euphoria.

What characterises markup

- Series of higher highs and higher lows; pullbacks get bought quickly.
- Rising volume and expanding interest from new buyers.
- Altcoins begin to outperform as risk appetite grows ('alt season').
- Narratives and adoption headlines amplify the trend.

Watch for froth

The transition from healthy uptrend to mania is gradual. Parabolic price moves, leverage spikes, and 'this time is different' talk are warnings that distribution may be near.

Phase 3 - Distribution (The Top)

Price stalls at high levels and chops sideways with violent swings. Euphoria peaks - this is the **point of maximum financial risk**. While retail buyers chase the top, early holders quietly sell into that demand. Tops are usually a **range**, not a single candle, and form while sentiment is still extremely bullish.

Signs a top may be forming

- Parabolic, near-vertical price action followed by sharp rejections.
- On-chain valuation enters the 'overvalued' zone; long-term holders distribute.
- Record retail interest: app store rankings, Google Trends, mainstream FOMO.
- Funding rates and leverage at extremes; everyone is a genius.
- Bad news stops being bought; lower highs begin to print.

The hardest sell

Selling into euphoria feels wrong because everything looks unstoppable. Pre-defined profit-taking rules (e.g. scaling out into strength) remove emotion from the decision.

"The market can stay irrational, and crowds stay euphoric, longer than feels possible - tops are built on optimism, not fear."

Phase 4 - Markdown (The Bear Market)

The uptrend breaks. Price falls in a series of lower highs and lower lows, punctuated by sharp 'bull-trap' rallies that fail. Sentiment slides from anxiety to denial to **capitulation** - a final, high-volume flush where the last weak holders sell. That despair is what seeds the next accumulation phase.

Anatomy of the markdown

- Lower highs / lower lows; rallies fail at prior support (now resistance).
- Leverage and over-extended players are forcibly liquidated.
- Capitulation: a steep, high-volume drop that exhausts sellers.
- Volatility eventually collapses as price goes quiet - accumulation begins again.

Finding the bottom

Bottoms are a process

Like tops, bottoms form over time. Classic tells: valuation metrics deep in the undervalued zone, miner capitulation, total disinterest from media and retail, and price holding above prior lows on retests.

Top vs. bottom at a glance

	TOP	BOTTOM
Emotion	Euphoria / greed	Despair / apathy
Valuation	Overvalued zone	Undervalued zone
Volume	Climactic buying	Capitulation, then quiet
Crowd	Everyone bullish	'Bitcoin is dead'
Action	Take profit	Accumulate

Key Indicators Traders Watch

No single metric calls tops and bottoms perfectly. Analysts combine on-chain data, technicals, and sentiment to judge where in the cycle the market sits. Below are the most widely referenced.

On-chain Valuation Oscillator (MVRV / NUPL concept, illustrative)



Figure 5 - Valuation oscillators swing between undervalued (accumulate) and overvalued (distribute) zones.

MVRV / MVRV-Z Market value vs. realised value. High = overvalued (top risk); low = undervalued (bottom).

NUPL Net Unrealised Profit/Loss - how much of the market is in profit. Extremes flag euphoria or capitulation.

Realised price Average price at which all coins last moved - a key on-chain support / cost-basis level.

LTH / STH supply Long- vs short-term holder behaviour: LTHs accumulate at bottoms, distribute at tops.

Funding & OI Perp funding rates and open interest reveal leverage froth in the derivatives market.

200-week MA / Mayer Long-term moving averages; price vs. them historically marks cycle extremes.

Fear & Greed Aggregated sentiment gauge - 'extreme fear' near bottoms, 'extreme greed' near tops.

Confluence beats any single signal

Treat indicators as a weight-of-evidence dashboard. When several independent metrics agree, the read is far more reliable than any one of them alone.

08 History: Cycles vs. Halvings

Each prior cycle has featured a halving, a multi-month markup to a new all-time high, a blow-off top, and a deep drawdown of 70-85% before the next accumulation. The chart below is a **schematic** of that rhythm on a log scale - useful for the shape, not for exact prices.

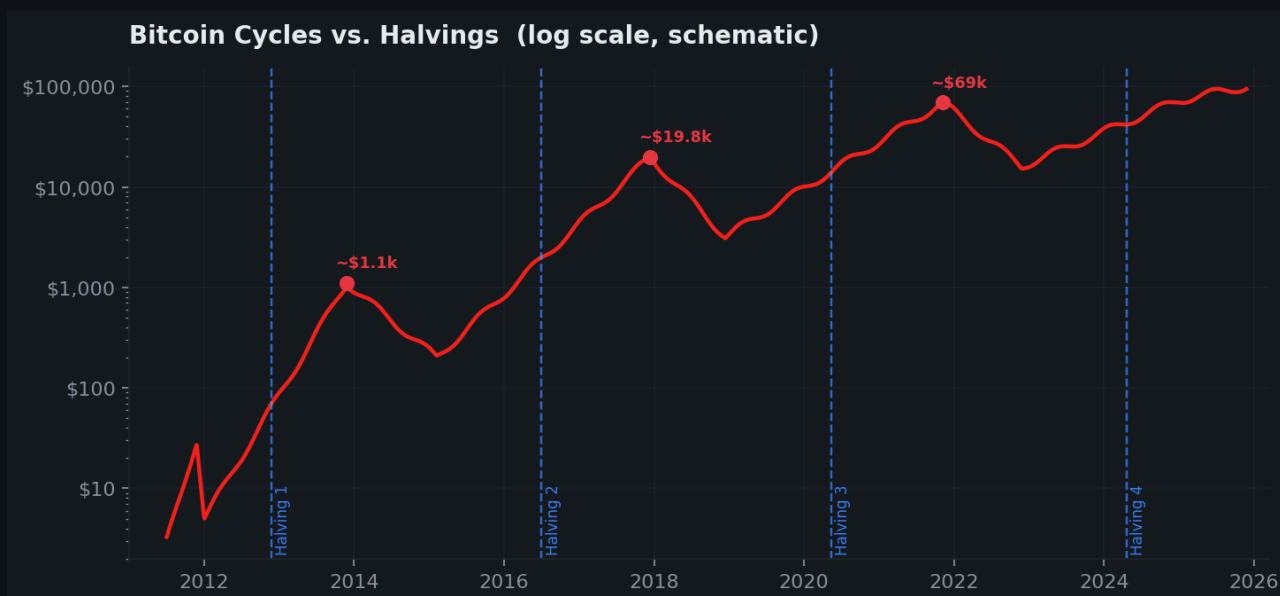


Figure 6 - Schematic of Bitcoin's major cycles aligned to the four halvings. Past performance does not guarantee future results.

Recurring patterns

- Major tops have historically arrived roughly 12-18 months after a halving.
- Bear-market drawdowns have ranged from about 70% to 85% peak-to-trough.
- Each cycle's percentage gains have tended to diminish as the market matures.
- Bottoms have repeatedly formed near the 200-week moving average.

'Diminishing returns' & longer cycles

As Bitcoin's market cap grows, each cycle's gains shrink and some argue cycles may stretch or flatten. The four-year rhythm is a guide, not a law.

Cycle Checklist & Risk Management

A quick framework to locate the current phase and act with discipline rather than emotion.

NEAR THE BOTTOM?

- Valuation in undervalued zone
- Sentiment = extreme fear / apathy
- Volatility & volume collapsed
- Price holding above prior lows
- Plan: accumulate / DCA

NEAR THE TOP?

- Valuation in overvalued zone
- Sentiment = extreme greed / FOMO
- Parabolic price + leverage spike
- Retail & media frenzy peaking
- Plan: take profit / de-risk

Risk-management principles

- **Never risk more than you can afford to lose** - Bitcoin is highly volatile.
- **Have a plan before you enter** - define entries, profit-taking, and invalidation.
- **Size positions sensibly** and avoid excessive leverage, which forces you out at the worst time.
- **Think in probabilities, not certainties** - no model predicts the future.
- **Manage emotion** - the crowd is most wrong at the extremes.

Disclaimer

This document is for educational and informational purposes only and does **not** constitute financial, investment, or trading advice. Cryptocurrency markets are highly volatile and you may lose your entire investment. Historical cycles and patterns are illustrative and do not guarantee future results. Charts marked 'illustrative' or 'schematic' are conceptual, not live market data. Always do your own research and consult a qualified professional before making financial decisions.